Business Insights

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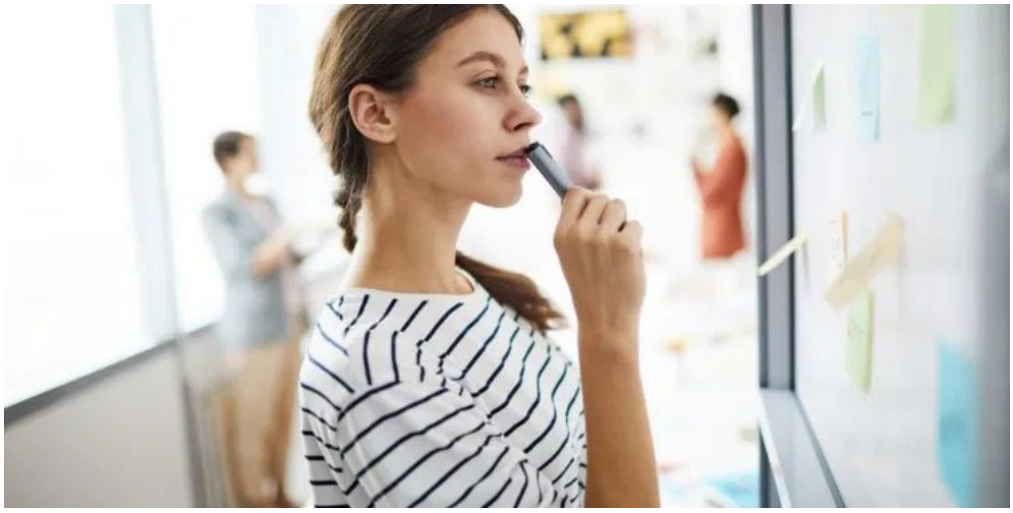
HOW TO CREATE AN EFFECTIVE VALUE PROPOSITION



WHAT IS A VALUE PROPOSITION?

A **value proposition** is a statement that conveys what a brand does and how it differs from competitors. It's typically developed as part of a broader marketing strategy and no more than a few sentences long. The initial proposition can be bolstered with statistics and facts that prove the brand's stated value.[1]

Having a value proposition is important because it clearly and concisely communicates what customers can gain from selecting your brand over that of your competitors. This statement can be used in several ways, including:

- On your company's website to help convert potential leads into customers
- When pitching your company to investors
- As an answer to the question, "So, what exactly does your company do?"

As an entrepreneur, it's your job to be your organization's number one advocate and garner the support of others. A short, clear value proposition can stick in the minds of investors, potential customers, friends, and relatives, ensuring your brand's value isn't lost in translation.

To begin crafting your brand's value proposition, start with an understanding of the jobs to be done theory.

UNDERSTANDING YOUR CUSTOMERS' JOBS TO BE DONE

The **jobs to be done theory** was developed by Harvard Business School Professor Clayton Christensen. It asserts that customers "hire" products and services to get "jobs" done, rather than purchasing them based on their attributes and buying behaviors.

"A 'job to be done' is a problem or opportunity that somebody is trying to solve," Christensen says in the online course Disruptive Strategy. "We call it a 'job' because it needs to be done, and we hire people or products to get jobs done."

One example of a successful brand that's used this framework is Warby Parker, founded in 2010 by Neil Blumenthal, Dave Gilboa, Andy Hunt, and Jeff Raider.

The eyeglass company got its start when one of the founders lost his glasses on a backpacking trip. Unable to swing the steep price of a new pair, he spent the next semester "squinting and complaining" to three of his friends, who realized they had been in similar situations.

"We were amazed at how hard it was to find a pair of great frames that didn't leave our wallets bare," Warby Parker states on its website. "Every idea starts with a problem. Ours was simple: Glasses are too expensive."

This statement describes the job to be done discovered by Warby Parker's founders. They realized people had a need to purchase affordable eyewear and, after some research, found there weren't many options in the market.

"Understanding that the same company owned LensCrafters and Pearle Vision, Ray-Ban and Oakley, and the licenses for Chanel and Prada prescription frames and sunglasses—all of a sudden, it made sense to me why glasses were so expensive," Gilboa explains in an interview with Forbes.

The team decided to take things one step further by adding a social justice component to their business model. For every pair of eyeglasses purchased, Warby Parker donates a pair to someone in need.

"There's nothing complicated about it," the company states on its website. "Good eyewear, good outcome."

This satisfies another job to be done: providing customers with a convenient means of helping others. This dual-pronged jobs to be done framework proved to be a success, as the team hit its first-year sales goal in just three weeks.

Warby Parker continues to build its value around jobs to be done and can expect its customers' needs to "purchase affordable eyewear" and "help others in a convenient way" to endure.

"Because a job to be done remains stable over time, it provides a North Star in innovation," Christensen says.

When crafting your brand's value proposition, think about the job to be done it addresses. How does its value center on a persisting need you can fill in a unique way? It's this positioning that can allow your brand to provide the same value for customers as the market advances.

CREATING A VALUE PROPOSITION

You can use the jobs to be done framework as a starting point to craft your brand's value proposition.

Ask yourself:

- What is my brand offering?
- What job does the customer hire my brand to do?
- What companies and products compete with my brand to do this job for the customer?
- What sets my brand apart from those competitors?

For example, Warby Parker's founders could answer these questions as follows:

- Warby Parker offers affordable designer eyewear, including contacts.
- Customers hire Warby Parker to provide high-quality eyewear at affordable prices and give back to the community in a convenient way.
- All other eyewear brands compete with Warby Parker.
- Warby Parker's commitment to giving back to the community and its affordable prices set it apart from competitors.

Next, summarize your points in a clear, concise value proposition. Continuing the example above, Warby Parker's value proposition, as published on its home page, is:

"BUYING EYEWEAR SHOULD LEAVE YOU HAPPY AND GOOD-LOOKING, WITH MONEY IN YOUR POCKET. GLASSES, SUNGLASSES, AND CONTACTS—WE'VE GOT YOUR EYES COVERED."

This value proposition is reinforced throughout the company's website, along with its stated commitment to social justice:

"WARBY PARKER WAS FOUNDED WITH A REBELLIOUS SPIRIT AND A LOFTY OBJECTIVE: TO OFFER DESIGNER EYEWEAR AT A REVOLUTIONARY PRICE, WHILE LEADING THE WAY FOR SOCIALLY CONSCIOUS BUSINESSES."

To ensure your value proposition is effective, consider running it by a few people who are unfamiliar with your business. If confusion arises, edit your statement to address those points.

Once you have a value proposition you're proud of, make it known. Publish it on your website, incorporate it into your marketing materials, and memorize it for sharing during networking events, pitch opportunities, and dinner conversations.

SETTING YOURSELF UP FOR SUCCESS

By positioning your brand as a solution to a job to be done, you can set your company up for success. Creating a value proposition is a reflective exercise that prompts you to take stock of the need your brand fills, who your competitors are, and how you provide a different experience from other products and services.

Condensing these reflections into a succinct value proposition can enable you to convert leads into customers, effectively pitch to investors, and communicate the value of your brand at scale.

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